On the X axis of the figure are the values of the Retirement Sustainability Quotient (RSQ). Notice that only strategies with an RSQ value of at least 75% are considered to be tolerable and are included in the chart.

Of course, it is clearly desirable to be on the right side of this spectrum; but this is precisely where the trade-off captured by the vertical Y axis must be considered. This is the expected discounted bequest (EDB), ranging from $10 to $35 per initial nest egg of $100. For each plotted line, a higher EDB value always comes at the "price" of a lower RSQ. That is, the bigger amount that is desired to be left to the estate, the lower the chance of meeting the annual spending goal.

Table 10.1 displays the actual "optimal" allocations to the three product categories depending on your desired level of retirement income security (represented by the RSQ value) versus your desire and interest to leave a legacy for your loved ones. For example, assume that you have $100,000 in your retirement nest egg, and that you desire to spend $5,200 adjusted for inflation on an annual basis. This translates into a real spending rate of 5.2%, which is reasonable although it certainly is not guaranteed to be sustainable. By reasonable I mean that the retirement sustainability quotient is somewhere between 95% and 85% depending on your product allocation. Notice that the more you allocate to products that contain guaranteed living benefits (GLiBs) and lifetime pay-out income annuities (LPIAs), the greater is the retirement sustainability quotient.

Of course, the price of a greater "sustainability" is that you must sacrifice a part of your estate goals. Notice that when you allocate only 18.9% to the systematic withdrawal plan and the remaining 29.1% to the LPIA and 52.0% to the variable annuity with a guaranteed living income benefit (GLiB), then although your RSQ value is 94.5%, the EDB value is a mere $22,000 of your original $100,000 nest egg. This is the tradeoff between risk and return in retirement. You can increase the security and sustainability of your desired retirement income, but it will come at the expense of your heirs and beneficiaries. If you want to leave as much as possible to the next generation, then obviously stay away from (expensive, irreversible) annuity products. On the other hand, if you primarily want to maximize sustainability and would like to bequeath the remaining funds, then your allocation to annuity instruments should be greater.